© 2021 Cengage Learning, Cengage Learning

2-7a Drivers of Economic Development: Culture, Geography, or Institutions?

The differences in economic development around the globe are striking. The highest and lowest per capita income countries are Norway (US$76,450) and Burundi (US$110), respectively. Why are some countries such as Norway so developed (rich), and some African countries such as Burundi so underdeveloped (poor)? More generally, what drives economic development in different countries?

Scholars and policy makers have debated this important question since Adam Smith's time. Various debate points boil down to three explanations:

(1) culture,

(2) geography, and

(3) institutions.

The culture side argues that rich countries tend to have smarter and harder-working populations driven by a stronger motivation for economic success (such as the Protestant work ethic identified by Max Weber—see Chapter 3). However, it is difficult to imagine that on average, Norwegians are *700 times* smarter and harder at work than Burundians. This line of thinking, bordering on racism, is no longer acceptable in the 21st century.

The geography school of thought suggests that rich countries (such as the United States)—thanks to their lucky geographic locations—tend to be well endowed with natural resources. However, one can easily point out that some poor countries (such as the Democratic Republic of Congo [Zaire]) also possess rich natural resources, and that some rich countries (such as Denmark and Japan) are very poor in natural resources. In addition, some countries are believed to be cursed by their poor geographic locations, which may be landlocked (such as Malawi) and/or located near the hot equator zone infested with tropical diseases (such as Burundi). This argument is not convincing either, because some landlocked countries are phenomenally well developed (such as Switzerland), and some countries near the equator have accomplished enviable growth (such as Singapore). Geography is important, but it is not destiny.

Finally, institutional scholars argue that institutions are "the basic determinants of the performance of an economy." Because institutions provide the incentive structure of a society, formal political, legal, and economic systems have a significant impact on economic development by affecting the incentives and the costs of doing business. In short, rich countries are rich because they have developed better market-supporting institutional frameworks. Specifically, several points can be made:

- It is economically advantageous for individuals and firms to grow and specialize in order to capture the gains from trade. This is the "division of labor" thesis first advanced by Adam Smith (see Chapter 5).
- A lack of strong formal, market-supporting institutions forces individuals to trade on an informal basis with a small neighboring group and forces firms to remain small, thus foregoing the gains from a sharper division of labor by trading on a large scale with distant partners. For example, most of the transactions in Africa are local in nature, and most firms are small. Over 40% of Africa's economy is reportedly informal, the highest proportion in the world.
- Emergence of formal, market-supporting institutions encourages individuals to specialize and firms to grow in size to capture the gains from complicated long-distance trade (such as transactions with distant, foreign countries). As China's market institutions progress, many Chinese firms have grown their size. In 2014, 91 Chinese firms were among the *Fortune* Global 500 largest firms in the world (measured by sales). In 1984, there were none.
- When formal, market-supporting institutions protect property rights, they will fuel more innovation, entrepreneurship, and, thus, economic growth. While spontaneous innovation existed throughout history, why has its pace accelerated significantly since the Industrial Revolution starting in the 1700s? In no small measure, this was because of the Statute of Monopolies enacted in Great Britain in 1624, which was the world's first patent law to formally protect the IPR of inventors and make innovation financially lucrative. This law has been imitated around the world. Its impact is still felt today, as we now expect *continuous* innovation to be the norm. This would not have happened had there not been a system of strong protection of IPR. Why do we now routinely expect IT products to double their computing power roughly every two years? The answer is certainly not because humans (or even IT geniuses) are two times smarter every two years—the key is institutions affording better and stronger IP protection that fuels such relentless (and, yes, routine!) innovation.

These arguments, of course, are the backbone of the institution-based view of global business. Championed by Douglass North, the Nobel laureate quoted earlier, this side has clearly won the debate on the drivers of economic development. However, the debate does not end, because it is still unclear *exactly* what kind of political system facilitates economic development. For example, whether democracy is good for economic development has been subject to a fierce debate (see the Closing Case).

Book Title: WGU Economics
Printed By: Mike Benton (mbento6@wgu.edu)
© 2021 Cengage Learning, Cengage Learning

© 2026 Cengage Learning Inc. All rights reserved. No part of this work may by reproduced or used in any form or by any means - graphic, electronic, or mechanical, or in any other manner - without the written permission of the copyright holder.